

Another big win for sac-TMT in upcoming ASCO

Encouraging PFS data and positive OS trend reported in PD-L1+ NSCLC setting; maintain Buy with a higher TP

What is new? OptiTROP-Lung05 trial reported strong PFS and OS data

On 22 May before market open, Kelun Biotech announced that its sac-TMT, a TROP-2 ADC, would report OptiTROP-Lung05 outcome in the upcoming 2026 ASCO on 29 May (local time). The clinical trial enrolled 413 NSCLC (PD-L1+) patients and compares sac-TMT combo pembrolizumab versus pembrolizumab (1:1).

Analysis suggest: compared to pembrolizumab alone, sac-TMT combo pembrolizumab (1) improved progression-free survival (PFS) significantly (not reached vs 5.7m, HR=0.35, P<0.0001), (2) demonstrated a higher objective response rate (ORR) 70.2% vs 42% and (3) saw a positive overall survival (OS) trend (HR=0.55).

Furthermore, the PD-L1 TPS 1~49% group showed a better PFS HR of 0.28 compared to the TPS> 50% group of HR of 0.47, while the nsNSCLC cohort reported PFS HS of 0.28 versus sNSCLC's 0.44.

Our take: a quite encouraging result; maintain Buy and lift TP to HKD544.42

We view this set of data as quite encouraging, as it is the first ADC reported PFS improvement in a phase III trial for PD-L1+ NSCLC patients. Compared to other regimens (ivonescimab, pembrolizumab combo chemo, for example) that reported an HR of around 0.50, this PFS HR set a quite high bar and may change the competitive landscape. Note: this drug is being priority-reviewed by the Chinese regulator for this indication based on this data.

Considering this positive updates, along with the earlier-announced Trofuse-05 outcome (see our report: *Quick Note - Kelun Biotech (6990 HK) (Buy) The first global phase III clinical trial meet primary endpoints, ahead of schedule*), we lift our FY35F revenue estimates for this drug in China / overseas market from CNY4.6bn/CNY6.5bn to CNY5.8bn/CNY10.5bn, respectively.

We thus lift our DCF-based TP (including an increase in terminal growth from 4% to 4.5%, on a higher sales outlook, and an unchanged WACC of 10.8%) from HKD438.30 to HKD544.42. The stock currently trades at 4.0x FY35F sales of CNY24bn.

The company will host a [session](#) on 31 May 10pm(HKT) to discuss this ASCO update.

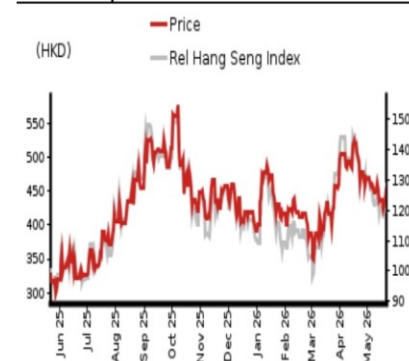
Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	2,058	3,104	3,298	4,442	4,945	0	6,252	
Reported net profit (mn)	-382	272	287	959	1,021	0	1,640	
Normalised net profit (mn)	-382	272	287	959	1,021	0	1,640	
FD normalised EPS	-1.74	1.24	1.31	4.36	4.64		7.45	
FD norm. EPS growth (%)	-	-	-	251.9	255.6		60.6	
FD normalised P/E (x)	-	-	309.9	-	87.2	-	54.3	
EV/EBITDA (x)	-	-	62.4	-	17.8	-	10.5	
Price/book (x)	18.3	-	17.3	-	14.4	-	11.4	
Dividend yield (%)	-	-	-	-	-	-	-	
ROE (%)	-9.3	5.2	5.7	16.3	18.0		23.4	
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash		net cash	

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from HKD 438.30	HKD 544.42
Closing price 21 May 2026	HKD 453.60
Implied upside	+20.0%

Market Cap (USD mn)	13,502.8
ADT (USD mn)	32.1

Relative performance chart



Source: LSEG, Nomura

Research Analysts

China Health Care & Pharmaceuticals

Jialin Zhang, CFA, CPA - NIHK

jialin.zhang@nomura.com

+852 2252 6134

Key data on Kelun Biotech

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-9.4	8.9	34.7	M cap (USDmn)	13,502.8
Absolute (USD)	-9.4	8.6	34.6	Free float (%)	69.4
Rel to Hang Seng Index	-5.2	12.8	28.1	3-mth ADT (USDmn)	32.1

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	1,933	2,058	3,298	4,945	6,252
Cost of goods sold	-659	-579	-714	-1,099	-1,323
Gross profit	1,274	1,479	2,584	3,845	4,928
SG&A	-1,552	-1,974	-2,325	-2,783	-3,194
Employee share expense					
Operating profit	-279	-495	260	1,062	1,735
EBITDA	-222	-385	347	1,173	1,856
Depreciation	-56	-109	-86	-107	-115
Amortisation	0	-1	-1	-3	-6
EBIT	-279	-495	260	1,062	1,735
Net interest expense	-4	-6	4	11	22
Associates & JCEs					
Other income	140	145	66	99	125
Earnings before tax	-143	-356	330	1,172	1,882
Income tax	-124	-26	-40	-141	-226
Net profit after tax	-267	-382	290	1,032	1,656
Minority interests	0	0	-3	-10	-17
Other items					
Preferred dividends					
Normalised NPAT	-267	-382	287	1,021	1,640
Extraordinary items					
Reported NPAT	-267	-382	287	1,021	1,640
Dividends					
Transfer to reserves	-267	-382	287	1,021	1,640

Valuations and ratios

Reported P/E (x)	—	—	309.9	87.2	54.3
Normalised P/E (x)	-343.3	-233.1	309.9	87.2	54.3
FD normalised P/E (x)	—	—	309.9	87.2	54.3
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	—	—	—	82.8	49.9
Price/book (x)	27.7	18.3	17.3	14.4	11.4
EV/EBITDA (x)	—	—	62.4	17.8	10.5
EV/EBIT (x)	—	—	83.4	19.7	11.2
Gross margin (%)	65.9	71.9	78.4	77.8	78.8
EBITDA margin (%)	-11.5	-18.7	10.5	23.7	29.7
EBIT margin (%)	-14.4	-24.0	7.9	21.5	27.8
Net margin (%)	-13.8	-18.6	8.7	20.7	26.2
Effective tax rate (%)	—	—	12.0	12.0	12.0
Dividend payout (%)	—	—	0.0	0.0	0.0
ROE (%)	-9.5	-9.3	5.7	18.0	23.4
ROA (pretax %)	-11.3	-17.4	8.9	31.6	46.0

Growth (%)

Revenue	25.5	6.5	60.3	49.9	26.4
EBITDA	—	—	—	237.6	58.2
Normalised EPS	—	—	—	255.6	60.6
Normalised FDEPS	—	—	—	255.6	60.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	-222	-385	347	1,173	1,856
Change in working capital	-405	-58	-482	-66	6
Other operating cashflow	197	263	30	-31	-79
Cashflow from operations	-430	-180	-104	1,076	1,784
Capital expenditure	-77	-126	-151	-177	
Free cashflow	-507	-307	-255	898	1,784
Reduction in investments	-773	504	-123	-135	-149
Net acquisitions					
Dec in other LT assets	-85	-25	-2	1	-7
Inc in other LT liabilities	79	-33	19	20	20
Adjustments	34	91	1	-3	-157
CF after investing acts	-1,252	231	-360	782	1,492
Cash dividends					
Equity issue	1,094	1,777	0	0	0
Debt issue	0	0	0	0	0
Convertible debt issue					
Others	-35	-101	-1	0	0
CF from financial acts	1,060	1,677	-1	0	0
Net cashflow	-192	1,907	-360	782	1,492
Beginning cash	1,529	1,337	3,244	2,884	3,665
Ending cash	1,337	3,244	2,884	3,665	5,157
Ending net debt	-1,337	-3,244	-2,884	-3,665	-5,157

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,337	3,244	2,884	3,665	5,157
Marketable securities	1,732	1,228	1,351	1,486	1,634
Accounts receivable	304	346	587	813	942
Inventories	111	241	176	241	254
Other current assets	10	90	92	93	95
Total current assets	3,493	5,149	5,089	6,298	8,083
LT investments					
Fixed assets	595	636	684	733	743
Goodwill					
Other intangible assets	3	1	16	38	63
Other LT assets	178	203	205	203	210
Total assets	4,268	5,989	5,995	7,272	9,099
Short-term debt	0	0	0	0	0
Accounts payable	447	685	364	569	696
Other current liabilities	363	320	338	358	381
Total current liabilities	810	1,004	701	927	1,077
Long-term debt					
Convertible debt					
Other LT liabilities	150	117	136	156	177
Total liabilities	959	1,121	837	1,083	1,253
Minority interest	0	0	3	13	30
Preferred stock	0	0	0	0	0
Common stock	227	233	233	233	233
Retained earnings	3,081	4,634	4,921	5,942	7,582
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	3,309	4,867	5,154	6,176	7,815
Total equity & liabilities	4,268	5,989	5,995	7,272	9,099

Liquidity (x)

Current ratio	4.31	5.13	7.26	6.80	7.51
Interest cover	-73.4	-80.4	—	—	—

Leverage

Net debt/EBITDA (x)	—	—	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	-1.21	-1.74	1.31	4.64	7.45
Norm EPS (CNY)	-1.21	-1.74	1.31	4.64	7.45
FD norm EPS (CNY)	-1.22	-1.74	1.31	4.64	7.45
BVPS (CNY)	15.03	22.11	23.42	28.06	35.51
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	49.0	57.6	51.6	51.7	51.4
Days inventory	48.0	110.7	106.6	69.2	68.4
Days payable	268.6	356.5	268.1	154.9	175.0
Cash cycle	-171.6	-188.2	-109.8	-34.0	-55.2

Source: Company data, Nomura estimates

Company profile

Kelun-Biotech is a biopharmaceutical company founded in 2016. It is one of the pioneers in the development of antibody drug conjugates (ADCs). Kelun-Biotech has accumulated more than ten years of experience in ADC development and has established its own integrated ADC R&D platform, OptiDC. The company has entered into out-license agreements with MSD to develop ADC assets for cancer treatment with upfront and milestone payments totaling up to USD10bn.

Valuation Methodology

We derive our target price of HKD544.42 from a DCF model, assuming WACC of 10.8% and terminal growth of 4.5%. The benchmark for the stock is Hang Seng Index.

Risks that may impede the achievement of the target price

Downside risks: (1) slower-than-expected sales ramp-up of sac-TMT and other drugs; (2) unsatisfied clinical progress.

ESG

Kelun-Biotech prioritize its ESG strategy adhering its mission. The Board is responsible for overseeing and guiding ESG initiatives and setting ESG strategies and policies directly. The company also set up Environment, Health and Safety ("EHS") working group, which is responsible for monitoring the day-to-day practice of ESG-related matters and implementing ESG policies. For the year ended December 31, 2021 and 2022, expenses in relation to environmental compliance matters were CNY668.2k and CNY771.1k, respectively.

Appendix A-1

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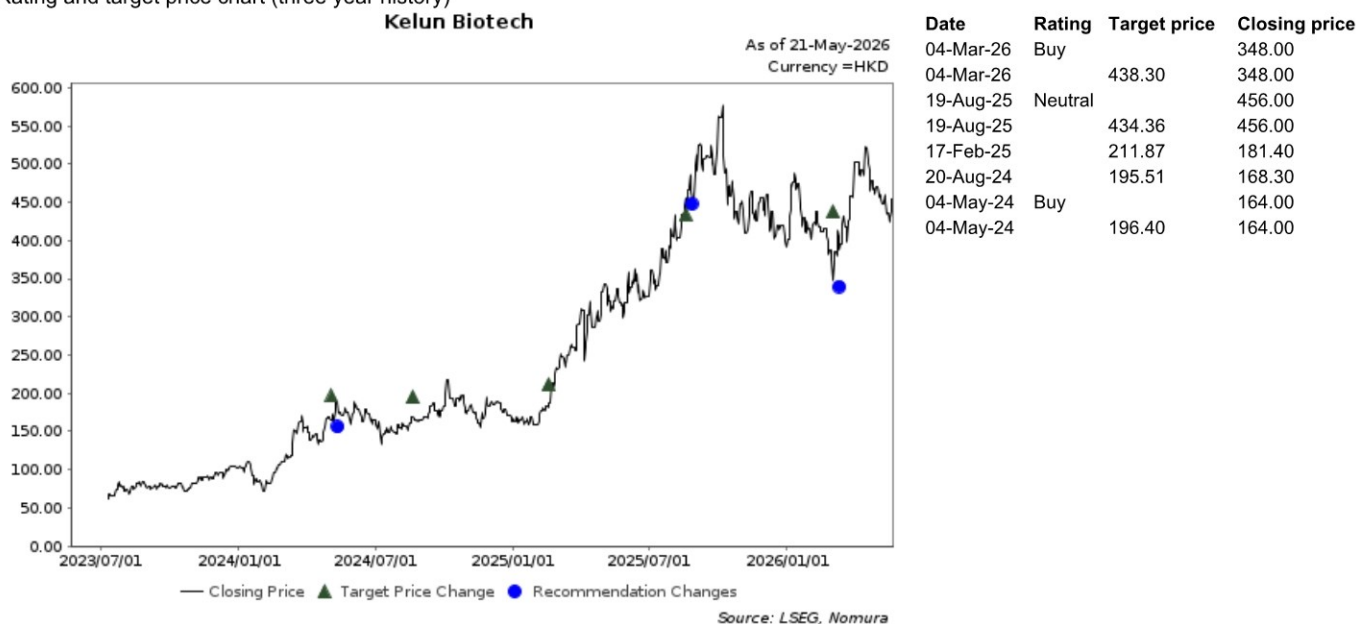
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kelun Biotech	6990 HK	HKD 453.60	21-May-2026	Buy	N/A	

Kelun Biotech (6990 HK)

HKD 453.60 (21-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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As at 31 March 2026.

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